

32 Valuation of liabilities

4 primary questions | Oldest to newest

2026 objectives: 4.5.2-4.5.5

3 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2011 Q4	13 marks
CA1-P1 September 2012 Q5	16 marks
CP1-P1 April 2019 Q6	14 marks
CP1-P1 September 2022 Q2	4 marks

CA1-P1 | September 2011 | Q4

[Current topic](#) | [13 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 4**
- (i) Describe how an insurance company could allow for uncertainty when establishing prudent provisions for the liabilities in respect of the cashflows from a block of annuity business. [5]
 - (ii) Discuss how this approach could be adapted when establishing prudent provisions for the following:
 - (a) A reported claim on a professional indemnity insurance policy.
 - (b) A group of insurance companies who are insuring a space shuttle on a short mission.
 - (c) A new class of marine insurance written by a general insurance company.
 - (d) A large, mature portfolio of extended warranty guarantees covering digital televisions.
- [8]
[Total 13]

CA1-P1 | September 2012 | Q5

Current topic | 16 marks total | Original PDF p3

Related: Ch 6, Ch 22.

- 5** (i) Describe the principal differences between the nature of the benefits payable under the following types of insurance contract:
- conventional with profit
 - conventional without profit
 - unit-linked
- [5]

An insurance company offers a regular premium unit-linked endowment assurance policy. On death before the end of the term, the policy pays the minimum of a guaranteed fixed cash sum.

- (ii) Explain why the reserves required would be higher compared with a similar policy that does not have the guaranteed death benefit. [3]
- (iii) Discuss factors that could influence the level of the additional reserves required. [5]
- (iv) Set out the most appropriate approach to calculating the level of the additional reserves required. [3]
- [Total 16]

CP1-P1 | April 2019 | Q6

Current topic | 14 marks total | Original PDF p3

Related: Ch 19, Ch 31.

- 6**
- (i) State what is meant by a ‘best estimate’ assumption. [1]
 - (ii) Give two examples where a ‘best estimate’ assumption would be suitable. [2]
 - (iii) Describe three methods of allowing for risk in cash flows. [6]
 - (iv) Discuss the purpose of equalisation reserves. [3]
 - (v) Suggest why a regulatory regime may not recognise equalisation reserves. [2]
- [Total 14]

CP1-P1 | September 2022 | Q2

Current topic | 4 marks total | Original PDF p2

Related: Ch 17.

- 2** The regulation of defined benefit schemes in a country requires that the assumptions used to determine the scheme's provisions for liabilities are the actuary's best estimate of future experience plus a margin for prudence.

Outline how sensitivity analysis can be used to determine the appropriate margin for prudence. [4]